FINANCE Asset Impairment Analysis

Goodwill Impairment Testing Memo

Summit Media Holdings • Fiscal Year 2024

MEMORANDUM: ASC 350 INTANGIBLE ASSETS AND GOODWILL

TO: Audit Committee
FROM: Financial Reporting & Technical Accounting
DATE: December 10, 2024
SUBJECT: Step 1 Quantitative Goodwill Impairment Assessment - Digital Publishing Reporting Unit

Background:
In accordance with ASC 350, Intangibles—Goodwill and Other, Summit Media Holdings conducts its annual goodwill impairment testing during the fourth quarter, or more frequently if a triggering event occurs. As of October 31, 2024, the carrying value of goodwill assigned to the Digital Publishing reporting unit was $45.8 million, originating from the 2021 acquisition of ClickStream Media.

Testing Methodology and Assumptions:
Due to sustained macroeconomic headwinds in the digital advertising sector and a 12% year-over-year decline in programmatic ad-yields, management bypassed the qualitative (Step 0) assessment and proceeded directly to a quantitative valuation. The fair value of the reporting unit was estimated using an Income Approach (Discounted Cash Flow model). Key assumptions included a weighted average cost of capital (WACC) of 11.5%, a terminal growth rate of 2.0%, and a revised five-year revenue CAGR of 3.5% (downgraded from 6.0%).

Conclusion and Accounting Impact:
The resulting fair value of the Digital Publishing reporting unit was calculated at $82.5 million. This exceeds the unit's total carrying amount (including goodwill) of $76.2 million. Because the fair value is greater than the carrying value, no impairment charge is required for the current fiscal year. However, the cushion is relatively thin (8.2%). Management will continue to monitor subscriber churn rates and ad-revenue metrics closely over the next two quarters for any further deterioration that may trigger an interim impairment review.